loving Punjabis rose up in numerous local revolts. Two of the prominent revolts were led by Mulraj at Multan and Chattar Singh Attariwala near Lahore. The Punjabis were once again decisively defeated. Lord Dalhousie seized this opportunity to annex the Punjab. Thus, the last independent state of India was absorbed in the British Empire of India.

Dalhousie and the Policy of Annexation (1848–56)

Lord Dalhousie came out to India as the Governor-General in 1848. He was from the beginning determined to extend direct British rule over as large an area as possible. He had declared that "the extinction of all native states of India is just a question of time". The underlying motive of this policy was the expansion of British exports to India. Dalhousie, like other aggressive imperialists, believed that British exports to the native states of India were suffering because of the maladministration of these states by their Indian rulers. Moreover, they thought that their 'Indian allies' had already served the purpose of facilitating British conquest of India and could now be got rid of profitably.

The chief instrument through which Lord Dalhousie implemented his policy of annexation was the 'Doctrine of Lapse'. Under this Doctrine, when the ruler of a protected state died without a natural heir, his state was not to pass to an adopted heir as sanctioned by the age-old tradition of the country. Instead, it was to be annexed to British India, unless the adoption had been clearly approved earlier by the British authorities. Many states, including Satara in 1848 and Nagpur and Jhansi in 1854, were annexed by applying this doctrine.

Dalhousie also refused to recognise the titles of many ex-rulers or pay their pensions. Thus, the titles of the Nawabs of Carnatic and of Surat, and the Raja of Tanjore were cancelled. Similarly, after the death of the ex-Peshwa Baji Rao II, who had been made the Raja of Bithur, Dalhousie refused to extend his pay or pension to his adopted son, Nana Saheb.